



EAPA Investigation 7839: AXN Heavy Duty LLC (Notice of Covered Merchandise Referral, March 11, 2025)

Concerning the Investigation of Evasion of the Antidumping (AD) and Countervailing Duty (CVD) Orders on Certain Chassis and Subassemblies Thereof (Chassis) from the People's Republic of China (A-570-135 and C-570-136)

On April 25, 2024, CBP initiated an EAPA investigation pursuant to Title IV, Section 421 of the Trade Facilitation and Trade Enforcement Act of 2015 based on an allegation that reasonably suggested AXN Heavy Duty LLC (AXN) entered chassis from China into the customs territory of the United States by means of evasion. On July 24, 2024, CBP imposed interim measures on AXN because evidence supported a reasonable suspicion that AXN imported merchandise covered by the AD and CVD orders on chassis from China into the customs territory of the United States by means of evasion.

The scope of the AD and CVD orders on chassis from China covers "...chassis and subassemblies thereof, whether finished or unfinished, whether assembled or unassembled...." It includes, but is not limited to, the following subassemblies: "{c}hassis frames, or sections of chassis frames..."; "{r}unning gear assemblies or axle assemblies for connection to the chassis frame..."; "{l}anding gear assemblies, for connection to the chassis frame..."; and "{a}ssemblies that connect to the chassis frame or a section of the chassis frame...." Based on the scope, "{i}mportation of any of these subassemblies, whether assembled or unassembled, constitutes an unfinished chassis for purposes of {these orders}." The scope of the AD and CVD orders also covers "...chassis, whether finished or unfinished, entered with or for further assembly with components..." and states that "{i}ndividual components entered and sold by themselves are not subject to the order, but components entered with or for further assembly with a finished or unfinished chassis are subject merchandise."

CBP is unable to determine whether certain merchandise imported by AXN from an affiliated company located in China, Guangdong Fuwa Heavy Industries Co., Ltd. (Fuwa), is covered merchandise in accordance with the AD and CVD orders. Therefore, CBP requests that the Department of Commerce (Commerce) make a determination as to whether the following are covered merchandise:

- (1) Axle beams imported by AXN that can be used on chassis, whether (a) incorporated into an axle assembly by AXN by adding Chinese-origin parts; (b) incorporated into an axle assembly by AXN by adding domestically (*i.e.*, U.S.) sourced parts; (c) incorporated into an axle assembly by AXN by adding a mix of Chinese-origin and domestically sourced parts; and/or (d) not incorporated into an axle assembly by AXN (*i.e.*, as imported);
- (2) Slider boxes that can be used on chassis, as imported by AXN;

- (3) Landing gear sets, as imported by AXN; and
- (4) Any merchandise imported by AXN that can be used on chassis, including, but not limited to, axle beams, slider boxes, and landing gear leg components/landing gear sets, that, even if considered individual components, were imported by AXN “with or for further assembly with a finished or unfinished chassis” by virtue of their intended sale by AXN to manufacturers for use in the production of completed trailers.

Such a determination will assist CBP’s EAPA investigation in determining which merchandise imported by AXN from China may be subject to the payment of AD and CVD duties.

If you have any questions specific to EAPA Investigation 7839, please contact CBP at eapallegations@cbp.dhs.gov, and include “EAPA Investigation 7839” in the subject line of the message. For any questions specific to the scope referral and its procedures, please contact Commerce at the Customs and Border Protection Liaison Unit, Enforcement and Compliance, International Trade Administration, at (202) 482-0984.